

FG Styles Co.

CONTEMPORARY WOMEN'S APPAREL · SYDNEY, NSW

FREIGHT ANALYSIS REPORT

Last Mile Carrier Review & Cost Optimisation Findings

ANALYSIS PERIOD	CONSIGNMENTS REVIEWED	TOTAL FREIGHT SPEND	DELIVERED
Jan – Mar 2025 (Q1)	1,260 shipments	\$25,350 AUD	May 2025

OVERVIEW

Executive Summary

Q1 2025 · 1,260 consignments across 3 active carriers · \$25,350 total freight spend

IDENTIFIED SAVINGS

\$16,680

Annualised estimate across 4 priority actions. High-priority items achievable within 60 days.

AVG COST / CONSIGNMENT

\$20.12

vs FreightGauge benchmark of \$16.40 for comparable AU ecomm accounts

DIM BILLING RATE

71%

71% billed on dimensional weight. FG benchmark: 48%.

Carrier concentration risk

AusPost carries 60% of volume at \$21.34 average — 22% above Couriers Please for comparable metro/suburban routes. Shifting 200 consignments per quarter to CP yields an estimated \$680 per year at current rates — low effort, implement via routing rule update.

DIM billing significantly above benchmark

71% of consignments are billed on dimensional weight. This indicates packaging is oversized for product weight. Standardising to 2–3 box sizes could reduce the DIM rate to ~50%, saving an estimated \$4,800 per year in avoided DIM surcharges.

Free shipping threshold too low

Free shipping triggers at \$75. At your current average order value of \$94, approximately 58% of orders qualify. Moving the threshold to \$95 would reduce free-shipping volume by ~28%, saving an estimated \$8,400 per year with minimal conversion impact.

Metro density opportunity

34% of orders ship within 15km of your Alexandria warehouse. Uber Direct or similar gig-economy carriers offer same/next-day delivery at \$6.50–\$9.00 per consignment versus \$18–22 via AusPost metro — estimated \$2,800 per year at current metro volume.

SECTION 1

Carrier Performance

Current carrier mix, spend distribution, and average rates for Q1 2025

CARRIER	CONSIGNMENTS	SHARE	TOTAL SPEND	AVG / CON.	VOLUME
AUSPOST	760	60.3%	\$16,215	\$21.34	60%
COURIERS PLEASE	420	33.3%	\$7,537	\$17.94	33%
ARAMEX	80	6.3%	\$1,598	\$19.98	6%
Total	1,260	100%	\$25,350	\$20.12	

Carrier Alternatives — FreightGauge Assessment

- Worth Evaluating

Uber Direct — 34% of your orders ship within 15km of your Alexandria warehouse. Uber Direct rates of \$6.50–\$9.00 for metro routes represent a 55–70% saving versus AusPost metro. Same-day SLA suits your fashion-conscious customer base.
- Worth Evaluating

StarTrack — For high-value orders (\$180+), StarTrack's premium tracking and guaranteed next-day metro delivery reduces customer service contacts and returns-related freight. ~120 orders/quarter in this value band.
- Not Recommended

TNT / FedEx Express — Express network rates of \$25–40+ per parcel are uncompetitive for sub-2kg apparel without a negotiated rate card. Not suitable at current volume without contract pricing.

SECTION 2

Cost Breakdown

Charge-type analysis across carriers — Q1 2025. All figures AUD inc. GST.

AusPost — 760 consignments · \$16,215 total

CHARGE TYPE	CONS.	TOTAL	AVG / CON.	% OF CARRIER
Base freight rate	760	\$12,460	\$16.39	76.8%
DIM weight surcharge	490	\$2,180	\$4.45	13.4%
Residential delivery surcharge	620	\$930	\$1.50	5.7%
Fuel levy	760	\$645	\$0.85	4.0%
AusPost subtotal	760	\$16,215	\$21.34	100%

Couriers Please — 420 consignments · \$7,537 total

CHARGE TYPE	CONS.	TOTAL	AVG / CON.	% OF CARRIER
Base freight rate	420	\$6,090	\$14.50	80.8%
DIM weight surcharge	210	\$840	\$4.00	11.1%
Fuel levy	420	\$607	\$1.45	8.1%
Couriers Please subtotal	420	\$7,537	\$17.94	100%

Total freight spend (all carriers)	1,260	\$25,350	\$20.12	—
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SECTION 3

DIM Billing & Anomalies

Dimensional weight billing analysis and billing discrepancies identified in Q1 2025

DIM Weight Billing

Consignments billed on DIM weight	71% (895)
FreightGauge benchmark	48%
Excess DIM billing (vs benchmark)	+23 pts
Estimated quarterly overcharge	~\$1,200
Dominant DIM factor	AusPost 250cm3/g

Billing Anomalies Detected

Consignments with anomalies	38 flagged
Duplicate billing events	4
Weight class mismatches	22
Surcharge applied incorrectly	12
Total recoverable (est.)	\$340-\$480

Root cause: packaging standardisation

Your current packaging uses 6 different box sizes ranging from 200x150x100mm to 450x350x250mm. The 3 largest sizes account for 68% of DIM-billed consignments. A rationalisation to 2–3 sizes fitted to your top-selling SKU dimensions would reduce DIM exposure materially.

Free shipping threshold

At \$75, your free shipping threshold qualifies 58% of orders (Q1 average order value: \$94). The freight cost absorbed on free-shipping orders was \$8,220 for the quarter — 32% of total freight spend. Moving to \$95 reduces qualifying orders to approximately 42%, saving an estimated \$2,100 per quarter.

SECTION 4

Recommendations

Prioritised actions — estimated annualised impact based on Q1 run-rate

HIGH	Raise free shipping threshold to \$95 Reduce freight subsidy on low-AOV orders	\$8,400 EST. ANNUAL SAVING
Your current threshold of \$75 captures 58% of orders at a freight cost of \$8,220/quarter. Raising to \$95 reduces this to ~42% with minimal conversion loss at your AOV profile. -> Update Shopify free shipping rule from \$75 to \$95 -> Update website banners and checkout copy -> Monitor conversion rate weekly for 4 weeks post-change		
HIGH	Standardise packaging to 3 box sizes Reduce DIM billing rate from 71% toward 48% benchmark	\$4,800 EST. ANNUAL SAVING
Six active box sizes, three of which are significantly oversized for your top 20 SKUs. Rationalising to 3 sizes mapped to actual product dimensions is a one-time operational change with ongoing freight saving. -> Audit top 20 SKUs against current box assignments -> Identify optimal 3-box config (recommend 200x150x80 / 300x220x120 / 380x280x160) -> Order new packaging run — 6–8 week lead time -> Brief pick-pack team on updated box selection rules		
MEDIUM	Trial Uber Direct for metro consignments 34% of orders within 15km of Alexandria warehouse	\$2,800 EST. ANNUAL SAVING
At \$6.50–\$9.00 per consignment versus \$18–22 via AusPost metro, Uber Direct offers a compelling cost case for short-distance orders. Same-day delivery is a customer experience upgrade. -> Apply for Uber Direct business account (2–3 day onboarding) -> Define metro zone trigger in Shopify shipping rules (15km radius) -> Run 50 con/week pilot for 4 weeks — track cost, SLA, and customer feedback		
LOW	Rebalance AusPost / Couriers Please split Shift 200 suburban cons/quarter from AusPost to CP	\$680 EST. ANNUAL SAVING
Couriers Please covers comparable metro/suburban zones at \$17.94 average vs AusPost \$21.34. Updating routing rules is low-effort with immediate per-shipment saving. -> Identify AusPost suburban routes also covered by CP -> Update routing rules in Shippit / Starshipit to prefer CP for matched zones		

APPENDIX

Consignment Data Sample

Representative sample of 20 consignments from Q1 dataset. Full dataset available on request.

CON. ID	DATE	CARRIER	STATE	ACTUAL (KG)	DIM (KG)	BILLED ON	CHARGED
FG-10042	03 Jan	AusPost	NSW	0.4	1.2	DIM	\$18.90
FG-10051	04 Jan	AusPost	VIC	0.8	0.8	Actual	\$16.40
FG-10063	05 Jan	CP	NSW	0.6	1.4	DIM	\$17.20
FG-10078	07 Jan	AusPost	QLD	1.1	0.9	Actual	\$22.10
FG-10092	09 Jan	CP	VIC	0.3	0.3	Actual	\$14.80
FG-10107	10 Jan	Aramex	NSW	0.5	1.6	DIM	\$21.40
FG-10114	12 Jan	AusPost	WA	0.9	0.7	Actual	\$27.80
FG-10128	14 Jan	CP	NSW	0.4	1.1	DIM	\$16.90
FG-10135	15 Jan	AusPost	VIC	1.2	1.2	Actual	\$19.60
FG-10149	17 Jan	AusPost	NSW	0.3	1.8	DIM	\$24.30
FG-10162	19 Jan	CP	QLD	0.7	0.6	Actual	\$18.40
FG-10178	21 Jan	Aramex	NSW	0.4	1.3	DIM	\$19.20
FG-10191	23 Jan	AusPost	SA	0.8	0.8	Actual	\$23.10
FG-10205	25 Jan	CP	NSW	0.5	1.5	DIM	\$17.60
FG-10218	27 Jan	AusPost	VIC	0.6	0.6	Actual	\$17.80
FG-10234	29 Jan	AusPost	NSW	0.3	2.1	DIM	\$26.40
FG-10247	31 Jan	CP	VIC	0.9	0.8	Actual	\$15.90
FG-10261	02 Feb	Aramex	NSW	0.6	1.4	DIM	\$20.10
FG-10275	04 Feb	AusPost	QLD	1.0	0.9	Actual	\$21.90
FG-10289	06 Feb	CP	NSW	0.4	1.2	DIM	\$16.70

Methodology: All data sourced from carrier invoice files provided by FG Styles Co. DIM weight calculated using each carrier's published DIM factor (AusPost 250cm3/g, CP 200cm3/g, Aramex 250cm3/g). FreightGauge benchmarks derived from comparable AU ecommerce accounts (fashion/apparel, \$500K–\$2M revenue, metro-primary delivery profile). Annualised savings estimates based on Q1 run-rate x4; actual results will vary.